Canada Bread Company, Limited

2010 ANNUAL REPORT





Canada Bread is a leading manufacturer and distributor of value-added and nutritious fresh and frozen bakery products, specialty breads, and fresh pasta and sauces.

At a Glance

Canada Bread operates two core businesses with leading brands and market shares:

FRESH BAKERY

Our **Fresh Bakery** business owns *Dempster's*, the #1 national brand of fresh bread in Canada. We market nutritious fresh bakery products, including pantry breads, rolls, flatbreads, rye, artisan breads, sweet goods and snack cakes under a number of other leading brands, including *Villaggio, McGavin's, POM, Bon Matin, Sunmaid* and *Ben's*. Our range of premium nutrition products are marketed under the *WholeGrains, Smart, BodyWise*, and *OvenFresh* brands. We also own Olivieri, a leading brand of fresh pasta and sauce products which is marketed across North America.

FROZEN BAKERY

Our **Frozen Bakery** business is a major North American producer and distributor of frozen unbaked, par-baked and fully-baked bread products. Our U.K. operation is a leading specialty bakery producing bagels, croissants, specialty breads, and crusty and artisan breads. Key brands include *Wholesome Harvest*, a line of nutritious frozen bakery products available in North America, *Tenderflake* ready-to-bake pastry products, and *New York Bakery* in the U.K.

Through our Fresh and Frozen Bakery operations, we serve retail stores, in-store bakery departments and foodservice customers across North America and the United Kingdom.

Canada Bread employs approximately 7,500 people and operates nearly 40 facilities across Canada, the United States and in the United Kingdom. The Company is 90% owned by Maple Leaf Foods Inc.

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TO OUR SHAREHOLDERS

While profitability in our Fresh Bakery business increased in 2010, operating earnings declined to $110.5 million from $120.5 million in 2009, largely due to weaker volumes in our North American frozen and U.K. bakery operations.

The reasons behind these volume declines differ. In North America, it reflected changes involving a few large customers early in the year that required us to replace volume with new business. The good news is that we have an excellent sales team who understand their customers and their strategies, and volumes began to strengthen by year end. We expect better results ahead!

In our U.K. bakery business, lower volumes have been a more prolonged issue resulting from the deeper economic recession in England and reduced demand for premium bakery products – where our business is positioned. We are taking aggressive action to both reduce costs, through overhead reductions and manufacturing consolidation, and to increase volumes through increased innovation and promotion. We have a very strong management team in the U.K. who has decades of experience in the bakery industry. They are doing all the right things to restore this business to its former profitability and we expect their efforts to deliver results in the year ahead.

Our fresh sandwich operations also impacted our profitability last year. While we had expected this to be a new business opportunity for us, the anticipated growth in the prepared sandwich market did not materialize. We determined that the best decision was to sell this business and focus management and resources on growing our core bakery businesses. This sale was completed in early 2011.

Across the board in 2011, we are focused on two main drivers of profitable growth – increased volume and lower costs.

Growth is being driven by innovation in our core categories and expansion into new categories, supported by impactful marketing campaigns. We experienced great success with our launch of Dempster's Rye breads last year. The total rye category has grown by 20% and Dempster's is a big part of that growth. We've had similar success with Dempster's Tortillas – taking a product in a fast-growing category and making it even better. On the marketing front, we've had two very successful recent promotions: one in the U.K. (to drive consumer awareness of our new New York Bakery bagel products) and the other featuring hockey star, Sidney Crosby promoting Dempster's nutritious breads. Our Olivieri fresh pasta and sauce business also contributed to growth with continued sales increases in both new products, such as cannelloni, and in our business in the United States.

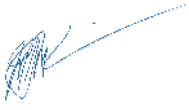
Cost reduction will be achieved through realizing greater scale efficiencies in our network through closing smaller bakeries and completing construction of a new world-class fresh bakery in Ontario. We have made excellent progress on the construction of this new facility and expect to commence commercial production in July 2011. Once we have completed transferring production and closing three smaller bakeries, we will have reduced overhead costs by over 30%. We are also reducing costs by standardizing the sizes of the pans we use to bake our breads and rolls – going from 33 different sizes down to 10 standard pans! This will simplify the baking process and also improve distribution efficiencies. In the U.K., we have consolidated croissant manufacturing from our Park Royal facility into our Maidstone bakery, where dedicated lines and greater capacity produce a very high quality product in a very cost-effective manner. We've also recently announced plans to divest or close our small bakery in Cumbria in Northern England, which will further reduce overhead costs.

Finally, we also implemented SAP, a world-class systems platform, across our Frozen Bakery business last year and installation is now underway in our Fresh Bakery business. Once completed across our operations, this will deliver savings and performance improvements.

We have an excellent business, with very strong brands, high market shares, and a team of great people who have deep passion and experience in the art of making, shipping and selling nutritious, wholesome and innovative bakery products. Thank you to all our employees and our franchisees for your continued support and dedication to making a great business even better.



RICHARD A. LAN
President and
Chief Executive Officer



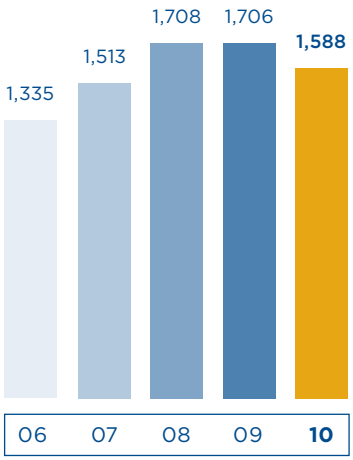
MICHAEL H. MCCAIN
Chairman

FINANCIAL HIGHLIGHTS

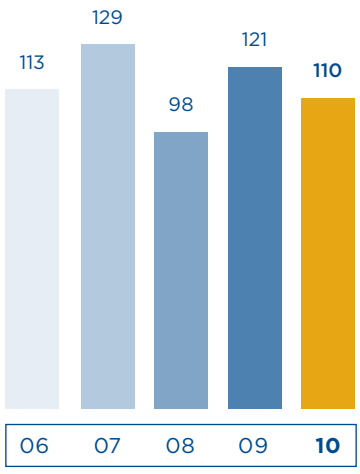
For years ended December 31 (In millions of Canadian dollars except per share information)	2010	2009	2008	2007	2006
CONSOLIDATED RESULTS					
Sales	**1,588**	1,706	1,708	1,513	1,335
Adjusted operating earnings [i]	**110**	121	98	129	113
Net earnings	**61**	77	65	84	54
PER SHARE					
Basic EPS	**2.40**	3.05	2.55	3.30	2.11
Adjusted EPS [i]	**2.85**	3.20	2.87	3.31	3.09
Diluted EPS	**2.40**	3.05	2.55	3.30	2.11
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value [ii]	**30.92**	29.39	27.87	24.99	23.15
NUMBER OF SHARES (MILLIONS)					
Weighted average	**25.4**	25.4	25.4	25.4	25.4
Outstanding at December 31	**25.4**	25.4	25.4	25.4	25.4

(i) Refer to non-GAAP measures on page 25 (Management's Discussion & Analysis)
(ii) Excludes equity component of long-term debt

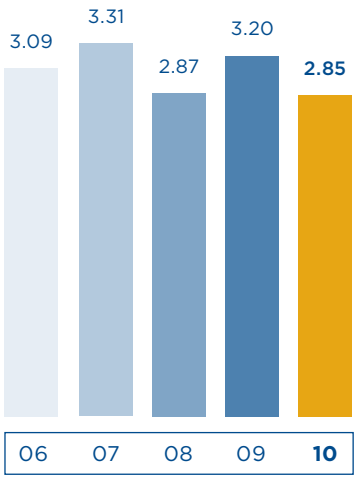
SALES
(millions of dollars)



EARNINGS FROM OPERATIONS
Before restructuring and other related costs
(millions of dollars)



ADJUSTED EARNINGS PER SHARE
Before restructuring and other related costs and non-recurring tax adjustment (dollars)



MANAGEMENT'S DISCUSSION AND ANALYSIS

February 23, 2011

THE BUSINESS

Canada Bread Company, Limited, 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 7,500 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen bakery products sold in North America and the U.K. including frozen par-baked and specialty bakery products.

FINANCIAL OVERVIEW

In 2010, Adjusted Operating Earnings were $110.5 million compared to $120.5 million in the prior year and Adjusted Earnings per Share were $2.85 per share compared to $3.20 per share in 2009. Net earnings were $61.0 million in 2010 compared to $77.5 million in the prior year, while basic earnings per share were $2.40 compared to $3.05 in the prior year. Net earnings in 2010 included $15.5 million in costs related to restructuring activities (2009: $4.9 million) and a $5.9 million charge related to interest rate swaps (2009: $nil). All amounts are reported in Canadian dollars except as otherwise specified.

The Company's Adjusted Operating Earnings decreased in 2010 compared to 2009 due to lower sales volumes in the U.K. and North American frozen businesses. Lower commodity costs and a stronger Canadian dollar partly offset the impact of lower volume.

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled Non-GAAP Financial Measures starting on page 25 of this Management's Discussion and Analysis for description and reconciliation of all non-GAAP measures.

SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31, 2010:

(in thousands of dollars except "EPS" information)	2010	2009	2008
Sales	**$ 1,588,437**	$ 1,705,788	$ 1,708,330
Adjusted operating earnings[i]	**$ 110,477**	$ 120,537	$ 97,632
Net earnings	**$ 60,975**	$ 77,478	$ 64,936
Basic and diluted EPS	**$ 2.40**	$ 3.05	$ 2.55
Adjusted EPS[i]	**$ 2.85**	$ 3.20	$ 2.87
Total Assets	**$ 1,032,139**	$ 986,412	$ 994,910
Net Debt (Cash)[i]	**$ (72,663)**	$ (50,904)	$ 1,691
Return on net assets (RONA)[i]	**9.2%**	10.2%	9.3%
Cash flow from operations	**$ 90,485**	$ 109,046	$ 137,435
Cash dividends per share	**$ 0.24**	$ 0.24	$ 0.24

(i) Please refer to the section entitled Non-GAAP Financial Measures starting on page 25 of this document.

MANAGEMENT'S DISCUSSION AND ANALYSIS

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Input Prices

Changes in input prices are significant drivers of business performance for both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in Canada Bread's operations.

The price of wheat, the most significant input, has shown extreme volatility over the past several years. Wheat prices have recently been influenced by many factors, including, but not limited to:

- "Food for Fuel" initiatives sponsored by the U.S. Government that have resulted in increased demand for grains, in particular corn that is used for ethanol production, and decreased land set aside for other crops such as wheat
- Crop yields and supply shortfalls
- Changing demand from export markets and trade embargos.

Beginning in 2007, strong demand from export markets and shortfalls in world crops, led to sharp increases in wheat prices that reached peak levels in mid-2008. In the last months of 2008, prices started to decline, and remained lower throughout 2009 compared to 2008. In 2010, wheat prices remained flat for the first six months but increased by approximately 75% in the second half of the year. The impact of the increase in wheat costs in the latter half of 2010 was managed by the Company through forward contracts that provided some protection against increased prices in the second half of the year. The stronger Canadian dollar in 2010 compared to 2009 somewhat reduced prices paid for U.S. dollar-denominated flour.

Crude oil prices progressively and steadily increased throughout 2009, although not to the extent of the mid-2008 increase, which reflected expectations of a global economic recovery and overall higher oil consumption. Oil prices remained relatively stable at these higher levels throughout most of 2010 and rose moderately in the fourth quarter.

The following table outlines the change in key commodity indicators that have impacted the Company's business and financial results:

WHEAT (USD PER BUSHEL) [(i)]

	As at December 31	Annual average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2010	$ 8.82	$ 6.23	$ 5.15	$ 5.13	$ 6.82	$ 7.81
2009	$ 5.45	$ 6.06	$ 6.32	$ 6.92	$ 5.61	$ 5.41
Change	61.8%	2.8%	(18.5)%	(25.9)%	21.6%	44.4%
2008	$ 6.55	$ 10.37	$ 15.04	$ 11.59	$ 8.90	$ 6.32

(i) Daily close prices (Source: Minneapolis Wheat Exchange)

WHEAT (CAD PER BUSHEL) [(i)]

	As at December 31	Annual average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2010	$ 8.87	$ 6.40	$ 5.36	$ 5.27	$ 7.11	$ 7.88
2009	$ 5.73	$ 6.83	$ 7.61	$ 7.85	$ 6.14	$ 5.62
Change	53.1%	(6.3)%	(29.6)%	(32.9)%	15.8%	40.2%
2008	$ 7.27	$ 10.61	$ 15.02	$ 11.67	$ 9.16	$ 7.52

(i) Daily close prices and exchange rates (Sources: Minneapolis Wheat Exchange and Bank of Canada)

OIL (USD PER BARREL) [i]

	As at December 31	Annual average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2010	$ 91.38	$ 79.48	$ 78.64	$ 77.79	$ 76.05	$ 85.10
2009	$ 79.39	$ 61.95	$ 42.91	$ 59.44	$ 68.20	$ 76.06
Change	15.1%	28.3%	83.3%	30.9%	11.5%	11.9%
2008	$ 44.60	$ 99.67	$ 97.86	$ 123.78	$ 118.93	$ 61.50

(i) Daily close prices (Source: Cushing, OK WTI Spot Price FOB)

USD/CAD EXCHANGE RATES [i]

	As at December 31	Annual average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2010	$ 1.0054	$ 0.9709	$ 0.9618	$ 0.9729	$ 0.9622	$ 0.9871
2009	$ 0.9515	$ 0.8797	$ 0.8039	$ 0.8584	$ 0.9113	$ 0.9461
Change	5.7%	10.4%	19.6%	13.3%	5.6%	4.3%
2008	$ 0.8210	$ 0.9441	$ 0.9955	$ 0.9901	$ 0.9610	$ 0.8270

(i) Daily closing rates (Source: Bank of Canada)

SUPPLY CHAIN EFFICIENCIES

Over the last decade, the Company has grown through numerous acquisitions of smaller sized companies in North America and the U.K. Management believes that higher sustained levels of profitable growth can be achieved by increasing supply chain efficiencies primarily across the Company's manufacturing network.

The Fresh Bakery operations comprise an extensive network of mid-sized facilities located across Canada. There is opportunity to consolidate some plants to drive scale efficiencies and provide additional capacity to support innovation and expansion into new categories.

In January 2010, the Company announced a plan to build a new scale fresh bakery plant in southwestern Ontario, which will replace three existing older and smaller facilities located in that region. Management expects that the investments required to build the new plant will amount to approximately $100 million, with an additional $25 million of restructuring and other one-time costs for decommissioning production and employee severance payments. Construction commenced in August 2010, and by the end of 2010 the building was mostly enclosed and equipment installation had begun. The project is on target to begin production of bakery products in July 2011, and Management expects to have completed the transfer of production from and closure of one of its three bakeries by the end of 2011, with the remaining products transitioning from the two other bakeries through 2012, with completion in 2013.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate all of its information technology systems onto a single platform, in order to standardize processes, reduce costs and enable a shared services structure. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed, approach to implementation. Successful execution has been enabled by changing existing businesses to standardized SAP processes, limiting any software modifications, and rigorous master data controls. By the end of 2010, SAP had been fully installed across the entire North American Frozen Bakery operation. Further installations, which will involve larger and more complex operations, are planned to commence in 2011. In January 2011, the Company successfully installed SAP in the front office of the Fresh Bakery operation in Atlantic Canada. Management expects that the installation of the new system will be substantially complete by 2012.

MANAGEMENT'S DISCUSSION AND ANALYSIS

OPERATING REVIEW

Following are sales by business segment for the three years ended December 31:

($ millions)	2010	2009	Change	2008
Fresh Bakery	**$ 1,086.8**	$ 1,119.8	(2.9%)	$ 1,094.2
Frozen Bakery	**$ 501.6**	$ 586.0	(14.4%)	$ 614.1
Total Sales	**$ 1,588.4**	$ 1,705.8	(6.9%)	$ 1,708.3

Total sales decreased by 6.9% to $1,588.4 million in 2010 compared to $1,705.8 million in the prior year. Excluding the impacts of an extra week in the fourth quarter of 2009 and a stronger Canadian dollar on the translation of sales in the U.K. and U.S., sales decreased 2.6%, predominantly as a result of lower volumes in the Frozen Bakery operations.

Following are Adjusted Operating Earnings by business segment for the three years ended December 31:

($ millions)	2010	2009	Change	2008
Fresh Bakery	**$ 99.2**	$ 91.5	8.4%	$ 76.5
Frozen Bakery	**$ 11.3**	$ 29.0	(61.2%)	$ 21.1
Adjusted Operating Earnings	**$ 110.5**	$ 120.5	(8.3%)	$ 97.6

Adjusted Operating Earnings for the year decreased to $110.5 million from $120.5 million in the prior year. The earnings decline was largely due to the lower volumes in the Company's Frozen Bakery operations. Lower commodity costs and a stronger Canadian dollar that reduced the prices of U.S. dollar-based wheat and ingredients partially mitigated the impact of lower sales volumes.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales decreased by 2.9% to $1,086.8 million in 2010 compared to $1,119.8 million in 2009. The sales decline in the Fresh Bakery segment is mostly due to the impact of an extra week in the fourth quarter of 2009. Excluding this impact, sales declined by approximately 1.1% due to marginal reductions in volume and net pricing.

Adjusted Operating Earnings for the year increased by 8.4% to $99.2 million compared to $91.5 million in the prior year. Improved earnings resulted from lower wheat prices compared to the prior year and the favourable impact of a stronger Canadian dollar that reduced the prices of U.S. dollar-based wheat and ingredients. The impacts were partly offset by labour inflation and increased distribution costs. The benefits of pricing activity were offset by increased promotional investment to sustain market shares in a competitive Canadian retail environment.

During the year advertising and promotional spending increased to support brands and product innovation including the launch of a significant promotional campaign in Fresh Bakery with hockey player Sidney Crosby as the brand ambassador of Dempster's® to promote the benefits of healthy eating and good nutrition, and marketing to support the launch of Dempster's® rye bread line in Ontario.

On February 18, 2011, the Company completed the sale of its Fresh Bakery sandwich business for $8.0 million, subject to post closing adjustments.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Frozen Bakery sales decreased by 14.4% to $501.6 million from $586.0 million in 2009. Excluding the impacts of an extra week in the fourth quarter of 2009 and a stronger Canadian dollar on the translation on sales in the U.K. and U.S. sales declined by 5.6%, predominantly as a result of lower volumes. In the U.K., sales volumes continued to be impacted by lower demand for specialty bakery products and reduced promotional activity. In the first quarter 2011, a significant promotion of the Company's bagel brand in the U.K. was launched to strengthen growth in the bagel category. In North America, lower Frozen Bakery sales volumes resulted from changes implemented by certain retail customers earlier in 2010. Progress was made towards the end of 2010 in securing new business.

Adjusted Operating Earnings decreased to $11.3 million in 2010 compared to $29.0 million in the prior year. Reduced earnings were predominantly due to lower sales volumes. Labour inflation and increased distribution costs also reduced earnings but to a lesser extent. Lower wheat costs in the North American frozen business provided some offset to the impacts of volume and increased costs.

Management continues to focus on reducing costs and consolidating volumes into fewer bakeries. In 2010, a croissant production line was transferred to an existing low cost scale facility in Maidstone, U.K., a move that consolidates the majority of croissant production into one site and reduces manufacturing costs. The Company also announced in early 2011 that it will close a high cost bakery in Laval, Quebec and transfer production to its other bakeries where there is available capacity and to divest or close a bakery facility in Cumbria, U.K.

GROSS MARGIN

Gross margin decreased by 2.0% to $333.5 million from $340.3 million in 2009 largely due to the decline in sales volumes. The impact of lower volume on gross margin was partly offset by lower commodity prices and a stronger Canadian dollar. As a percentage of sales, gross margin increased slightly from 20.0% in 2009 to 21.0% in 2010.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses increased by 1.5% to $223.1 million in 2010 from $219.8 million in the prior year.

The increase in 2010 expenses can be attributed to advertising and promotional spending and selling expenses in the Fresh Bakery business. A significant promotional campaign with hockey player Sidney Crosby as the brand ambassador of Dempster's® to promote the benefits of breads, healthy eating and good nutrition was launched in 2010. In addition, the launch of Dempster's® rye bread line in Ontario was completed in the second half of 2010. Offsetting increased expenses in the Fresh Bakery business, the Frozen Bakery operations recorded lower advertising and promotional spend in the U.K. bakery operations and reduced administration and selling expenses in the North American Frozen Bakery operations.

INTEREST EXPENSE

Interest expense was $3.3 million for the year compared to $5.1 million in 2009. The decrease was a result of lower average debt balances compared to the previous year. The Company's average effective cost of borrowing for 2010 was approximately 5.5% (2009: 4.5%).

OTHER INCOME / EXPENSE

Other expense for the year was $5.8 million compared to other income of $2.4 million in 2009. Other expense in 2010 is mostly related to the recognition of losses on interest rate swaps. Other income of $2.4 million in the prior year was mostly related to insurance proceeds received for business interruption losses in the U.K. bakery operations.

MANAGEMENT'S DISCUSSION AND ANALYSIS

INCOME TAXES

Income tax expense decreased to $24.8 million from $35.5 million in 2009 and the Company's effective tax rate decreased from 31.4% in 2009 to 28.9% in 2010.

A reconciliation between statutory tax rates and the Company's effective tax rate is set out in Note 17 of the Consolidated Financial Statements. Following is a discussion of certain reconciling amounts:

- During the year, the Company recorded restructuring and other related costs of $15.5 million (2009: $4.9 million) that had a tax effect of $4.0 million (2009: $1.2 million), for an effective tax rate of 25.4%. The lower rate on the recovery booked was primarily driven by lower tax rates applied to deductions available in later years.
- During the third quarter of 2006, the Company recorded a tax expense of $21.2 million to write-down future tax assets related to its U.S. Frozen Bakery business. The total valuation allowance taken by the Company, on account of its accumulated tax losses as of December 31, 2010 is $22.5 million (US$22.6 million) (December 31, 2009 – $24.1 million and US$23.0 million).
- During the year, the Company recorded an income tax reduction of $1.5 million relating to a prior acquisition in its Fresh Bakery business.

The Company's income tax rate varies and could increase or decrease based on the amounts of taxable income derived and from which source, any amendments to tax laws and income tax rates and changes in assumptions and estimates used for tax assets or liabilities.

RESTRUCTURING AND OTHER RELATED COSTS

During 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). $10.4 million of these costs related to the Company's announcement to consolidate three Fresh Bakery facilities into a new bakery in Ontario. Restructuring costs of $2.0 million related the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with previously announced restructuring initiatives.

During 2009, the Company recorded restructuring and other related costs of $4.9 million ($3.7 million after-tax). These costs related primarily to the consolidation of the management of the pasta and sandwich operations, and the Company recorded $3.5 million which included severances and a write-down of $1.2 million related to the discontinuance of the Martel brand name. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

PENSION EXPENSE

Pension expense for the year was $13.3 million compared to $11.8 million in 2009. Components of pension expense are provided in Note 18 of the Consolidated Financial Statements.

The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2010 were $6.9 million (2009: $5.9 million).

GOVERNMENT INCENTIVES

During the year, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of a new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning 2012. These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

ACQUISITIONS AND DIVESTITURES

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During the first quarter of 2009, the Company finalized the purchase equation, allocating $15.4 million to the identifiable net tangible assets of Martel at the acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that are being amortized on a straight-line basis over 10 years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

On February 18, 2011, the Company completed the sale of its Fresh Bakery's sandwich business for $8.0 million, subject to post closing adjustments.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf, and its affiliates, other than Canada Bread and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions.

On May 28, 2009, the Company paid $8.5 million to Maple Leaf in settlement of its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $8.0 million of unrealized derivative losses as at December 31, 2009. On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the remaining unrealized derivative losses of $5.9 million related to two interest rate swaps in accumulated other comprehensive loss was charged to earnings in the fourth quarter of 2010.

On September 2, 2008, the Company amended its primary credit facility provided by Maple Leaf. The effect of the amendment was an extension of the maturity date to December 27, 2011 and a modest increase in the pricing to reflect increases in market pricing for similar loans. The facility is unsecured and is subject to certain financial covenants.

General Services

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2010 for these services pursuant to a Management and Affiliation Agreement entered into in August 1995 were $15.4 million (2009: $17.5 million).

Information Systems Services

During 2010, the Company received certain information system services from Maple Leaf for a cost of $25.2 million (2009: $17.8 million). The increase from last year reflects completion of the centralization of all information systems support teams to Maple Leaf, and charges in respect of the Company's new SAP information system. Purchase of licenses, capitalization of implementation costs and operating costs related to the SAP program are all financed and paid by Maple Leaf, and the costs charged back over the useful life of the related systems based on when the systems become available for use in the Company. During the year, finance and procurement systems were installed in Fresh Bakery, and Frozen Bakery finalized the installation of all SAP modules across its operating locations.

Engineering Services

During 2010, the Company received certain engineering services from Maple Leaf for a cost of $1.1 million (2009: $0.5 million), the increase directly related to higher levels of engineering required in the construction of the Company's new Hamilton, Ontario Fresh Bakery.

Marketing Services

During 2010, the Company received certain marketing and consumer services from Maple Leaf for a cost of $3.4 million (2009: $2.9 million). The increase in marketing and consumer services mainly reflects the Company's focus on developing and launching new products, and incremental usage of central marketing services.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Six Sigma Services

During 2010, Six Sigma fees charged to the Company amounted to $5.4 million (2009: $nil). All Six Sigma resources were transferred from the Company to Maple Leaf, and resources are provided to the Company from the central pool, while education, management and administrative resources related to Six Sigma continue to be incurred by Maple Leaf and charged back to the Company.

Logistics

The Company paid $1.6 million (2009: $1.6 million) for services in the normal course of business and at market prices to Day & Ross Transportation Group, a subsidiary of McCain Foods Limited. McCain Foods Limited is partly owned by McCain Capital Corporation; a 31.3% shareholder in Maple Leaf Foods Inc.

CAPITAL RESOURCES

Historically, the Company generates a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

The Company and its subsidiaries had aggregate credit facilities, excluding accounts receivable securitization programs, of $289.4 million (2009: $289.0 million), of which $20.9 million (2009: $15.7 million) was utilized (including $9.1 million in respect of letters of credit) at December 31, 2010 (2009: $8.9 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf, which matures on December 27, 2011. The Company will begin negotiations to renew the facility during 2011. This unsecured facility is subject to certain financial covenants. As at December 31, 2010, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility.

During 2010, the Company entered into a three-year, committed accounts receivable securitization facility to access competitively priced financing, and to further diversify its funding sources. This program replaced the existing accounts receivable financing facilities. Under the new facility, the Company sells certain accounts receivable, with limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At year end, the Company has $105.2 million (2009: $70.0 million under the former facilities) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $46.0 million and a note receivable in the amount of $59.2 million.

The program is subject to certain restrictions and requires the maintenance of certain debt ratios. The Company is in compliance with all of the requirements of the program during 2010. These facilities are accounted for as an off-balance sheet transaction under Canadian GAAP and will continue to be accounted for in the same manner under IFRS effective January 1, 2011.

Details of these facilities are described in Note 3 to the Consolidated Financial Statements.

CASH FLOW AND FINANCING

Cash Flow from Operating Activities

Cash flow from operating activities for the year was $90.5 million compared to $109.0 million in 2009. The decrease is largely attributable to a decrease in earnings and a greater investment in working capital compared to 2009.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $4.1 million compared to an outflow of $16.6 million in the prior year. The year-over-year change is due primarily to the settlement of interest rates swaps with Maple Leaf Foods Inc. during 2009.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $63.2 million compared to an outflow of $41.8 million in the prior period, as a result of increased capital expenditures.

Capital expenditures were $66.6 million compared to $41.7 million last year. Capital expenditures in the Fresh Bakery segment capital increased by $26.2 million to $47.9 million predominantly due to investment in the new large bakery facility in Hamilton, Ontario. Expenditures in the Frozen Bakery segment were $18.7 million, slightly lower than 2009.

Contractual Obligations

Following is a summary of certain of the Company's material contractual obligations as at December 31, 2010:

		Payments due by fiscal year					
($ millions)	**Total**	2011	2012	2013	2014	2015	After 2015
Long-term debt	**$ 4.0**	$ 2.3	$ 0.1	$ 0.3	$ 0.4	$ 0.4	$ 0.5
Lease obligations	**69.1**	20.3	14.5	11.2	8.7	5.8	8.6
Total contractual obligations	**$ 73.1**	$ 22.6	$ 14.6	$ 11.5	$ 9.1	$ 6.2	$ 9.1

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES [1]

Through normal course of business the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedging accounting portfolio.

[1] For a comprehensive discussion on the Company's risk management practices and derivative exposures, please refer to the Financial Instruments note in the Consolidated Financial Statements.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2010, total equity increased by $38.8 million to $785.8 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectability of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2010 approximately $3.3 million (2009: $2.7 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at December 31, 2010, the Company has recorded an allowance for doubtful accounts of $2.1 million (2009: $2.1 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the credit quality of the Company's major customers, as well as the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with a small number of large grocery retailers. The Company's three largest customers comprise approximately 35.7% of consolidated pre-securitized accounts receivable as at December 31, 2010 and the two largest customers comprise approximately 30.2% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents comprising primarily deposits and short-term placements with Canadian chartered banks. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets. As at December 31, 2010, accounts receivable amounted to $88.9 million (2009: $63.6 million).

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2010, the Company had available undrawn committed credit of $247.7 million under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company does, from time to time, use interest rate swaps to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed rate borrowings. During 2009, the Company retired $70.0 million of interest rate swaps which were hedging $70.0 million of floating rate debt. On May 28, 2009, the Company paid Maple Leaf $8.5 million to settle its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $8.0 million of unrealized derivative losses as at December 31, 2009. On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous floating rate debt facility. As a result of the new facility, $5.9 million ($4.0 million after-tax) of unrealized derivative losses in accumulated other comprehensive loss was released to profit and loss.

As at December 31, 2010, 97.2% (2009: 100.0%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency that the company is exposed to is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options, and over the counter derivatives products.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

MANAGEMENT'S DISCUSSION AND ANALYSIS

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the 12 interim periods ended December 31, 2010 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales	**2010**	**$ 381,932**	**$ 402,062**	**$ 411,364**	**$ 393,079**	**$ 1,588,437**
	2009	$ 413,125	$ 435,918	$ 424,555	$ 432,190	$ 1,705,788
	2008	$ 382,869	$ 437,418	$ 443,086	$ 444,957	$ 1,708,330
Net earnings	**2010**	**$ 12,727**	**$ 20,686**	**$ 13,980**	**$ 13,582**	**$ 60,975**
	2009	$ 14,882	$ 22,537	$ 25,050	$ 15,009	$ 77,478
	2008	$ 12,211	$ 6,538	$ 19,727	$ 26,460	$ 64,936
Earnings per Share						
Basic and diluted [i]	**2010**	**$ 0.50**	**$ 0.81**	**$ 0.55**	**$ 0.54**	**$ 2.40**
	2009	$ 0.59	$ 0.89	$ 0.99	$ 0.59	$ 3.05
	2008	$ 0.48	$ 0.26	$ 0.77	$ 1.04	$ 2.55
Adjusted EPS [i], [ii]	**2010**	**$ 0.55**	**$ 0.84**	**$ 0.85**	**$ 0.61**	**$ 2.85**
	2009	$ 0.60	$ 0.89	$ 1.00	$ 0.70	$ 3.20
	2008	$ 0.52	$ 0.30	$ 0.93	$ 1.13	$ 2.87

(i) May not add due to rounding
(ii) Refer to Non-GAAP Financial Measures on page 25.

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of Frozen Bakery product sales in the U.S. and the U.K.
- lower sales volumes mostly of frozen bakery products in the U.S. and the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduces the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- increased spending to maintain market shares in a competitive Canadian retail environment.

Quarterly sales and net earnings in 2009 were impacted by the following significant items:

- price increases implemented in 2008 in response to escalating input costs
- increased sales volumes and favourable mix in the fresh bakery and fresh pasta and sauces businesses
- lower volumes in the fresh sandwich business
- the depreciation of the Canadian dollar relative to the U.S. dollar and the British pound in the first three quarters of 2009 which increased the sales value of Frozen Bakery product sales in the U.S. and the U.K.
- lower sales volumes and a change in mix from specialty and premium products to staple products in the U.K. bakeries in part due to the economic recession
- normalization of bakery margins in 2009, except in the U.K. bakery business which was impacted by the effects of the global economic recession, due mostly to the combination of prior year price increases and the decline in commodity costs
- the impact of lower sales volumes and change in mix in the U.K. bakery operations.

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at **www.canadabread.ca.**

Summary of 2010 Fourth Quarter Results

Following is a summary of sales by business segment:

($ thousands)	Fourth Quarter 2010	2009
Fresh Bakery	$ 261,876	$ 279,244
Frozen Bakery	131,203	152,946
Total Sales	$ 393,079	$ 432,190

Following is a summary of Adjusted Operating Earnings by business segment:

($ thousands)	Fourth Quarter 2010	2009
Fresh Bakery	$ 20,623	$ 20,079
Frozen Bakery	6,714	9,053
Total Adjusted Operating Earnings	$ 27,337	$ 29,132

Sales for the fourth quarter declined 9.0% to $393.1 million from $432.2 million in the prior year largely as a result of an additional week in the fourth quarter last year. Excluding the impact of the extra week in 2009, sales declined by approximately 1.7% as lower volumes and foreign exchange translation were partly offset by improved product mix.

Adjusted Operating Earnings in the quarter decreased to $27.3 million compared to $29.1 million last year. The fourth quarter decline was largely due to the lower volumes in the Company's Frozen Bakery operations in the U.S. and U.K.

During the quarter the business benefited from a strong Canadian dollar, which reduced the cost of flour and other ingredients priced in U.S. dollars, and lower commodity costs, although there was a significant rise in wheat prices late in the year that has continued into 2011. Losses on interest rate swaps of $5.9 million and reduced Adjusted Operating Earnings of $1.8 million, partly offset by lower restructuring costs, contributed to lower net earnings, which declined from $15.0 million ($0.59 per share) last year to $13.6 million ($0.54 per share) in the fourth quarter of 2010. Restructuring costs in the quarter were $2.5 million (2009: $3.7 million) and primarily related mostly to the sale of a fresh prepared foods facility in St. Romuald, Quebec.

SHARE CAPITAL AND DIVIDENDS

During 2010 and 2009, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2010 and 2009.

As of December 31, 2010, there were 25,416,812 common shares of the Company issued and outstanding.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. In 2010, the Company completed deployment of its Environmental Excellence program at more than 90% of its manufacturing facilities. This program establishes a standard environmental management system across the Company's various business interests. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

MANAGEMENT'S DISCUSSION AND ANALYSIS

As a food company, there are health, environmental and social issues that go beyond short term profitability that management believe must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers to reduce packaging, track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage. In 2009, the Company completed a comprehensive planning process to establish its environmental sustainability priorities and develop longer-term environmental objectives. Priorities such as greenhouse gas and energy management, water conservation, waste reduction, packaging and supply chain environmental sustainability were established.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. During the year, the Company completed the successful installation of the system in some business units. The transformation of these business systems and installation into all business units is expected to be substantially complete in 2012. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations, or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's United Kingdom operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

In 2010, the Company has commenced the construction of a large scale facility which will replace a number of smaller and older facilities. The construction and start-up of a new plant presents a number of risks including: errors in the assessment of labour rates and other operating costs, cost overruns in construction, delays in completion of the project, disruptions to service levels during the construction period, loss of reputation with customers and adverse impacts on the quality of the Company's products. As a result of the construction of this facility, the Company's operations will be more concentrated in a fewer number of facilities resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole. In addition, as part of the plan, the Company has announced the closure of some existing plants. The closure of existing plants carries risks such as inaccurate assessments of the costs of decommissioning, disruptions in service during closure and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material adverse impact to the Company's financial condition and results of operations.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability and the potential costs and disruptions of a product recall. The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions

While the Company's focus has shifted from acquisitions to integration of existing operations and supply chain optimization, the Company may continue to review opportunities for strategic growth through acquisitions in the future. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of management attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired intangible assets which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these activities could materially affect the Company's product sales, financial condition and results of operations.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines,

injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs, and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters and product liabilities. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 7,500 full- and part-time employees, which includes salaried and union employees many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, cause volatility in the net periodic pension cost and increase the Company's future funding requirements. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through a direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operation and financial condition.

Competitive Industry Environment

The food industry is intensely competitive. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts. Increased competition could result in reduced sales, margins, profits and market share all of which could have a material adverse impact on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires Management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with Management's understanding of facts and circumstances at the time. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require significant or complex judgement on the part of Management. The following is a summary of certain accounting estimates or policies considered to be critical and that require significant or complex judgement by the management of the Company.

Goodwill and Intangible Assets Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. The Company determines the fair value of its reporting units for accounting purposes based on a capitalization of earnings approach, corroborated by other techniques such as comparison to market values. The estimates of earnings used in the evaluation of goodwill are consistent with plans and estimates that are presented annually to the Board of Directors. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, also as required, if events occur that indicate it is more likely than not that the carrying value has been impaired. The fair value of indefinite life intangibles is determined based on a "royalty savings approach", that is a discounted cash flow method. The estimates of fair value include projected future sales, terminal growth rates, royalty rates and discount rates. The impairment tests for indefinite life intangible assets and goodwill were performed in 2010 and no impairment was identified.

Reserve for Doubtful Accounts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and operating earnings will be affected.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Provisions for Inventory

Management makes estimates as to the future customer demand for our products when establishing the appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory values are lower, thus reducing the risk of material misstatement in realizable value. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code dates. To the extent that actual losses on inventory differ from those estimated, both inventory and operating earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that in many cases include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of volume sales for the relevant period and the historical promotional expenditure rate compared to contracted rates. As such arrangements are complex and there are a significant number of customers and products affected, Management has systems and processes in place to estimate and value provisions incurred to value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and operating earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2010	2009
Discount rate used to calculate net benefit plan expense	**5.75%**	6.50%
Discount rate used to calculate year-end benefit obligation	**5.00%**	5.75%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%

A 1% change in health care cost trend would not have a significant impact on the year-end obligation or the 2010 current service and interest costs.

Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgement is required in determining income tax provisions and evaluating the need for valuation allowances, if applicable. The calculation of current and future income tax balances, as well as any related valuation allowances as applicable, requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Reserves for Restructuring and Other Related Costs

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure these accruals are still appropriate. As the Company has been involved in a significant amount of transformation and restructuring of businesses and assets in the past several years, these provisions and accruals can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, Management may determine that certain accruals are insufficient as new events occur or as additional information is obtained. These costs and provisions are separately identified and disclosed in the Company's financial statements.

CHANGE IN ACCOUNTING POLICIES

Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods did not have a material impact on the Company's financial statements.

In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. Each level is based on the transparency of the inputs used to measure the fair values of assets and liabilities:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. The Company has complied with the new disclosure requirements beginning in 2009 and this disclosure is presented in Note 10 of the Consolidated Financial Statements.

RECENT ACCOUNTING PRONOUNCEMENTS

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value on the acquisition date and is consistent with International Financial Reporting Standards ("IFRS"). Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011.

MANAGEMENT'S DISCUSSION AND ANALYSIS

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011.

In February 2008, the CICA announced that Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS") for fiscal years beginning on or after January 1, 2011. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2010 and have concluded that such controls and procedures are effective.

INTERNATIONAL FINANCIAL REPORTING STANDARDS

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). While IFRS uses a conceptual framework similar to Canadian GAAP, there are significant differences in accounting policies that must be evaluated. IFRS will also require more disclosures than Canadian GAAP. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS, in 2008, the Company established an enterprise-wide project team and project plan. The IFRS project philosophy is to align with current accounting practices and policies, where possible, and to minimize the impact of any changes to the business or reporting to shareholders. Regular reporting of the progress on the IFRS conversion project is provided to senior management and the Audit Committee of the Board of Directors.

The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation. The Company has completed the initial assessment and design phases of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS. The implementation phase of the project is ongoing and will continue until the Company issues its first IFRS financial statements for the quarter ended March 31, 2011. Substantial progress has been made in the implementation phase of the project as described below and in the Company's MD&A for prior periods. The IFRS conversion project is on schedule and Management expects that the project will be completed in time to enable the Company to issue IFRS-compliant financial statements for the first quarter of 2011 as required.

A summary of key accounting differences and IFRS 1 elections was provided in the Company's annual MD&A for the year ended December 31, 2009 as well as policy alternatives under IFRS, including certain exemptions and elections available on transition under IFRS 1. Outlined below are the IFRS 1 elections that the Company expects to make on transition to IFRS and the impact of these elections.

IFRS 1 Optional Exemptions

Business Combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to January 1, 2010 (the "Transition Date") in accordance with IFRS 3, "Business Combinations". The Company elected not to retrospectively restate those business combinations that occurred prior to the Transition Date.

Fair Value as Deemed Cost

IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS balance sheet. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16, "Property, Plant and Equipment", to arrive at the carrying value of property, plant and equipment on the Transition Date. The Company has retroactively applied the historical cost model for property and equipment for IFRS purposes on the Transition Date.

Employee Benefits

In accordance with IAS 19, "Employee Benefits", an entity may elect to use a "corridor" approach that leaves some actuarial gains and losses unrecognized. Retrospective application of this approach requires an entity to split the cumulative actuarial gains and losses from the inception of the plan until the date of transition to IFRS into a recognized portion and an unrecognized portion. Alternatively, an entity may elect to recognize all cumulative actuarial gains and losses at the date of transition to IFRS, even if it uses the corridor approach for later actuarial gains and losses, recognized after the Transition Date. The Company elected to recognize all cumulative actuarial gains and losses that existed at the Transition Date in retained earnings for all of the Company's employee benefit plans. This will result in a decrease in total shareholders' equity on the Transition Date.

Cumulative Translation Differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21, "The Effects of Changes in Foreign Exchange Rates", from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation difference retrospectively. Where this election is made, the cumulative translation balance for all foreign operations is set to zero at the Transition Date. The Company elected not to retrospectively calculate the cumulative translation balances and all of these balances will be reset to zero on the Transition Date. There is no impact to total shareholders' equity as a result of this election.

Decommissioning Liabilities Included in the Cost of Property, Plant and Equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1, "Changes in Existing Decommissioning, Restoration and Similar Liabilities". The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the Transition Date.

Borrowing Costs

IAS 23, "Borrowing Costs", requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the Transition Date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and will choose the Transition Date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exemptions

Hedge Accounting

Hedge accounting may only be applied prospectively from the Transition Date to transactions that meet the hedge accounting criteria in IAS 39, "Financial Instruments – Recognition and Measurement", at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS on the Transition Date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Key Accounting Differences Between Canadian GAAP and IFRS

Changes in accounting policies upon adoption of IFRS are likely, but at this time the Company cannot quantify the total or net impact that the future adoption of IFRS will have on its consolidated financial statements and operating performance measures. The International Accounting Standards Board has significant ongoing projects that could affect the ultimate differences between Canadian GAAP and IFRS and the impact on the Company's consolidated financial statements. Outlined below are the key areas where changes in accounting policy are expected that may affect the Company's consolidated financial statements.

Securitization Programs

IFRS has different requirements than Canadian GAAP to allow off-balance sheet treatment of accounts receivable securitization programs. On October 27, 2010, the Company finalized new accounts receivable securitization agreements that do qualify for de-recognition under IFRS and is effective as of that date. Accounts receivable that were sold under previous securitization agreements will be recorded on the balance sheet for the restated 2010 comparative periods.

Employee Benefits

IAS 19, "Employee Benefits", requires past service costs of defined benefit pension plans to be expensed on an accelerated basis, with vested past service costs expensed immediately and unvested past service costs recognized on a straight-line basis until the benefits become vested. Under Canadian GAAP, past service costs are generally amortized on a straight-line basis over the average remaining service period of employees active at the date of the amendment.

IAS 19 also requires an entity to make an accounting policy choice regarding the recognition of actuarial gains and losses. The three options that are available are as follows: delayed recognition using a "corridor" approach; immediate recognition through the income statement; and, immediate recognition through Other Comprehensive Income.

Under IFRS 1, the Company elected to recognize all cumulative actuarial gains and losses that existed at the Transition Date in opening retained earnings for all of its employee benefit plans. The expected transitional impact of this adjustment is a decrease in other long-term assets of $35 million, a decrease in deferred tax liabilities of $9 million and a decrease in retained earnings of $26 million. The Company also finalized its accounting policy for pensions and post-retirement benefits and the impact of IFRIC 14 "The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction". The Company's chosen accounting policy will be to recognize gains and losses immediately through other comprehensive income. The Company has analyzed the potential impact of the asset ceiling requirements and the minimum funding requirements under IFRIC 14 and determined that there is no impact at the Transition Date. The Company is not able to estimate the impact of this change on future financial results.

Borrowing Costs

IAS 23, "Borrowing Costs", requires the capitalization of borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. Under Canadian GAAP, the Company's accounting policy is to expense these borrowing costs as incurred. The impact of this change will be a periodic reduction in interest expense during periods where significant capital projects are under way. The Company has determined there will not be an adjustment on transition to IFRS. The Company is not able to estimate the impact of this change on future financial results.

Business Combinations

IFRS 3, "Business Combinations", does not allow the accrual of restructuring provisions pursuant to an acquisition. On the Transition Date, any existing restructuring accruals that were the result of an acquisition will be written off through Retained Earnings. The Company has determined that there is no impact at the Transition Date.

Income Taxes

IAS 12, "Income Taxes", requires a balance sheet liability approach in assessing future income taxes very similar to CICA Handbook Section 3465 with some noticeable differences. Under IAS 12, deferred tax assets or liabilities are recognized for the differences in tax bases on inter-company transfers. Deferred taxes are calculated using the purchaser's tax rate and any current taxes payable/recoverable of the seller are recognized and not deferred. Other than recording the tax effect of the various other transitional adjustments and the reclassification of certain tax balances, the Company does not expect to record any significant tax-related adjustments on the transition to IFRS. The Company is not able to estimate the impact of this change on future financial results.

Cumulative Translation Differences

Under IFRS 1, the Company will elect not to retrospectively calculate its cumulative translation balances, and all of these balances will be reset to zero on the Transition Date. The Company has finalized the transitional impact as of the Transition Date which results in an increase in accumulated other comprehensive loss of $48.8 million and a corresponding decrease in retained earnings with no impact on total shareholders' equity.

Property and Equipment

IFRS has more specific guidance than Canadian GAAP on the capitalization and componentization of assets, requiring that significant asset components with different useful lives than the main asset be recorded and depreciated separately. As a result of this difference, the Company has determined that certain assets will have separately capitalized components under IFRS. The retrospective application of this standard will result in a pre-tax decrease of $1.4 million in total shareholders' equity due to revised depreciation rates.

Impairment of Assets

Canadian GAAP generally uses a two-step approach to impairment testing, first comparing asset carrying values with undiscounted future cash flows to determine whether impairment exists, and then measuring any impairment by comparing asset carrying values with their fair values. IAS 36, "Impairment of Assets", uses a one-step approach to determine if impairment exists and for measuring that impairment, by comparing asset carrying values to the higher of fair value less costs to sell and value in use (determined using discounted future cash flows). This can potentially result in asset impairments, where the carrying values of assets were previously supported under Canadian GAAP on an undiscounted cash flow basis, but would not be supported on a discounted cash flow basis.

Additionally, for the purposes of asset impairment testing, Canadian GAAP requires assets to be grouped at the lowest level for which identifiable cash flows are largely independent of the cash flows of other assets and liabilities. IFRS requires that assets be tested for impairment at the level of the cash generating unit (or group of cash generating units for the purposes of testing goodwill impairment), which is the lowest level of assets that generate largely independent cash inflows. In many cases, this requirement will result in a lower level grouping of assets, which could result in the identification of impairment under IFRS for assets that were not considered impaired under Canadian GAAP. The Company has estimated that an impairment adjustment on certain assets will decrease retained earnings by $80.0 million to $100.0 million before taxes on the Transition Date, subject to finalization of the determination of cash generating units.

This summary of expected areas of significance should not be regarded as a complete list of adjustments that will result from the transition to IFRS. It is intended to highlight those areas that have been completed and are most significant. The Company has completed the determination of the accounting adjustments necessary on the transition to IFRS based on current IFRS pronouncement in existence at December 31, 2010.

OTHER MATTERS

On February 23, 2011 Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2011 to shareholders of record at the close of business on March 10, 2011. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Non-GAAP Financial Measures

The Company uses the following non-GAAP measures: Adjusted Operating Earnings, Adjusted EPS and Net Debt, Return on Net Assets and Earnings Before Interest, Tax, Depreciation and Amortization. Management believes that these non-GAAP measures provide useful information to both Management and investors in assessing the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Adjusted Operating Earnings

The following tables reconcile earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the audited consolidated statements of earnings for the three years ended December 31, 2010 indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results as restructuring and other related costs and other income (expense) are not representative of operational results.

	2010			
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 60,975
Income taxes				24,827
Earnings from operations before income taxes				$ 85,802
Interest expense				3,308
Earnings from operations before income taxes and interest expense	$ 86,685	$ 8,301	$ (5,876)	$ 89,110
Restructuring and other related costs	12,598	2,950	–	15,548
Other income	(57)	–	5,876	5,819
Adjusted Operating Earnings	$ 99,226	$ 11,251	$ –	$ 110,477

	2009			
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 77,478
Income taxes				35,506
Earnings from operations before income taxes				$ 112,984
Interest expense				5,084
Earnings from operations before income taxes and interest expense	$ 88,053	$ 30,015	$ –	$ 118,068
Restructuring and other related costs	3,373	1,535	–	4,908
Other income	109	(2,548)	–	(2,439)
Adjusted Operating Earnings	$ 91,535	$ 29,002	$ –	$ 120,537

	2008			
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 64,936
Income taxes				29,063
Earnings from operations before income taxes				$ 93,999
Interest expense				7,843
Earnings from operations before income taxes and interest expense	$ 76,592	$ 25,252	$ –	$ 101,844
Restructuring and other related costs	(105)	10,597	–	10,492
Other income	42	(14,746)	–	(14,704)
Adjusted Operating Earnings	$ 76,529	$ 21,103	$ –	$ 97,632

(i) May not add due to rounding.

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under Canadian GAAP in the audited consolidated statements of earnings for the three years ended December 31, 2010. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

	2010	2009	2008
Basic Earnings per Share	**$ 2.40**	$ 3.05	$ 2.55
Restructuring and other related costs[i]	**$ 0.46**	$ 0.15	$ 0.32
Adjusted EPS [ii]	**$ 2.85**	$ 3.20	$ 2.87

[i] *Includes per share impact of restructuring and other related costs, net of tax.*
[ii] *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this MD&A to Canadian GAAP amounts in the audited consolidated balance sheets as at the end of each of the three years ended December 31, 2010 indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands)	2010	2009	2008
Bank indebtedness	$ 7,777	$ 4,247	$ 8,894
Current portion of long-term debt	2,332	–	41
Long-term debt	1,629	2,547	4,477
Sub-total	**$ 11,738**	**$ 6,794**	**$ 13,412**
Cash and cash equivalents	(84,401)	(57,698)	(11,721)
Net debt (cash)	**$ (72,663)**	**$ (50,904)**	**$ 1,691**

Return on Net Assets ("RONA")

Return on Net Assets ("RONA") is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis upon which to evaluate long-term financial performance.

Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends in 2011, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, expectations regarding sufficiency of the allowance for uncollectible accounts and the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

MANAGEMENT'S DISCUSSION AND ANALYSIS

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by the adoption of the International Financial Reporting Standards;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 16 of this document and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at **www.sedar.com.**

INDEPENDENT AUDITORS' REPORT

To the Shareholders

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which comprise the consolidated balance sheets as at December 31, 2010 and December 31, 2009 and the consolidated statements of earnings, comprehensive income, retained earnings, and cash flows for the years then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform an audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinions.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited as at December 31, 2010 and December 31, 2009, and its consolidated results of operations and its consolidated cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 23, 2011

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2010	2009
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 84,401	$ 57,698
Accounts receivable (Note 3)	29,773	63,620
Note receivable (Note 3)	59,159	–
Inventories (Note 4)	55,477	56,659
Future tax asset (Note 17)	4,015	1,640
Prepaid expenses and other assets	4,516	4,438
	$ 237,341	$ 184,055
Property and equipment (Note 5)	391,690	387,252
Goodwill (Note 6)	375,894	386,807
Other long-term assets (Note 7)	13,588	11,620
Other intangible assets (Note 8)	13,626	16,678
	$ 1,032,139	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	$ 7,777	$ 4,247
Accounts payable and accrued charges	185,216	172,172
Due to Maple Leaf Foods Inc.	5,336	3,817
Dividends payable	1,525	1,525
Income and other taxes payable	3,248	13,155
Current portion of long-term debt (Note 9)	2,332	–
	$ 205,434	$ 194,916
Long-term debt (Note 9)	1,629	2,547
Future tax liability (Note 17)	30,797	33,338
Other long-term liabilities (Note 11)	8,433	8,524
Shareholders' equity (Note 12)	785,846	747,087
	$ 1,032,139	$ 986,412

Contingencies and commitments (Note 22)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



RICHARD A. LAN
Director



WILLIAM E. AZIZ
Director

Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except share amounts)	2010	2009
Sales	$ 1,588,437	$ 1,705,788
Cost of goods sold	1,254,901	1,365,470
Gross margin	$ 333,536	$ 340,318
Selling, general and administrative expenses	223,059	219,781
Earnings from operations before the following:	$ 110,477	$ 120,537
Restructuring and other related costs (Note 14)	(15,548)	(4,908)
Other income (expense) (Note 15)	(5,819)	2,439
Earnings before interest and income taxes	$ 89,110	$ 118,068
Interest expense (Note 16)	3,308	5,084
Earnings before income taxes	$ 85,802	$ 112,984
Income taxes (Note 17)	24,827	35,506
Net earnings	$ 60,975	$ 77,478
Earnings per share – basic and diluted (Note 24)	$ 2.40	$ 3.05
Weighted average number of shares (millions)	25.4	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
Net earnings	$ 60,975	$ 77,478
Other comprehensive loss (Note 13)	(16,116)	(32,644)
Comprehensive income	$ 44,859	$ 44,834

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
Retained earnings, beginning of year	$ 658,541	$ 587,163
Net earnings	60,975	77,478
Dividends declared ($0.24 per share; 2009: $0.24 per share)	(6,100)	(6,100)
Retained earnings, end of year	$ 713,416	$ 658,541

See accompanying Notes to the Consolidated Financial Statements

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
CASH PROVIDED BY (USED IN)		
Operating Activities		
Net earnings	$ 60,975	$ 77,478
Add (deduct) items not affecting cash:		
Depreciation and amortization	50,159	53,992
Future income taxes	(6,894)	67
Loss on sale of property and equipment	126	471
Change in provision for restructuring and other related costs	11,561	2,204
Amortization of terminated interest rate swaps	2,089	1,975
Loss on interest rate swaps (Note 13)	5,876	–
Other	42	(2,826)
Change in non-cash operating working capital	(33,449)	(24,315)
Cash provided by operating activities	$ 90,485	$ 109,046
Financing Activities		
Dividends paid	(6,100)	(6,100)
Increase (decrease) in long-term debt	2,000	(1,971)
Settlement of interest rate swaps with Maple Leaf Foods Inc.	–	(8,502)
Cash used in financing activities	$ (4,100)	$ (16,573)
Investing Activities		
Additions to property and equipment	(66,595)	(41,659)
Proceeds from sale of property and equipment	3,114	547
Change in intangible assets	254	502
Other	15	(1,239)
Cash used in investing activities	$ (63,212)	$ (41,849)
Increase in cash and cash equivalents	23,173	50,624
Cash and cash equivalents, beginning of year	53,451	2,827
Cash and cash equivalents, end of year	$ 76,624	$ 53,451
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	84,401	57,698
Bank Indebtedness	(7,777)	(4,247)
Net cash and cash equivalents, end of year	$ 76,624	$ 53,451

See accompanying Notes to the Consolidated Financial Statements

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Years ended December 31, 2010 and 2009
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2010.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company, which are in accordance with Canadian Generally Accepted Accounting Principles ("GAAP").

(a) Principles of Consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for at cost or at fair value depending on whether such investments are publicly traded.

(b) Use of Estimates

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for doubtful accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, fair value determinations, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other related costs and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(c) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in other comprehensive income, a component of shareholders' equity, until realized.

(d) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenues from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using historical trends and are recognized at the time of sale as a reduction of revenue. Sales incentives include various rebate and promotional programs provided to the Company's customers. These rebates are primarily based on achievement of specified volume or growth in volume levels. In subsequent periods, the Company monitors the progress of customers related to sales incentive programs and makes any required adjustments to both revenue and sales incentive accruals.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. To account for spoiled products, in certain cases customers are provided with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from sales to that customer.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(e) Financial Instruments

The Company's financial assets and financial liabilities are classified as held-for-trading, available-for-sale, held-to-maturity, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held-for-trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held-for-trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Available-for-sale financial assets are measured at fair value with changes in fair value recognized in other comprehensive income in the period in which they arise. Held-to-maturity financial assets, loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

(f) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, the risk management objective and the strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, directly in other comprehensive income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value, with any gains or losses recorded in earnings, without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(g) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(h) Impairment or Disposal of Long-lived Assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and other intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of the asset to the sum of the undiscounted cash flows expected to result from the use and eventual disposal of the asset or asset group. An impairment loss is recognized when the carrying amount is not recoverable and exceeds the fair value of the asset or asset group. Long-lived assets are classified as held-for-sale when certain criteria are met and sale is expected to be completed within one year. The assets to be disposed of are separately presented in the balance sheet and reported at the lower of their carrying amount or fair value less costs to sell, and are no longer depreciated.

(i) Property and Equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight line basis which is based on the expected useful life of the assets, as follows:

Buildings	15 – 40 years
Machinery and equipment	3 – 10 years

(j) Financing Costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized is included in interest expense for the year.

(k) Goodwill and Other Intangible Assets

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes.

The Company has both definite life and indefinite life intangible assets. Definite life intangibles are amortized on a straight-line basis over their estimated useful lives.

Trademarks	10 years
Customer relationship intangibles	20 – 25 years
Software	3 – 10 years

Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2010 and 2009 and no impairments were identified.

(l) Income Taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date. A valuation allowance is recognized against future tax assets when it is more likely than not that all or some part of the asset will not be realized.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(m) Employee Benefit Plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the fair value of assets at the beginning of the year and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(n) Statement of Cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(o) Accounting Changes

(i) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods did not have a material impact on the Company's financial statements.

(ii) In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

(iii) In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. Each level is based on the transparency of the inputs used to measure the fair values of assets and liabilities:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. The Company has complied with the new disclosure requirements beginning in 2009 and this disclosure is presented in Note 10.

(p) Recent Accounting Pronouncements

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business be recorded at fair value on the acquisition date and is consistent with International Financial Reporting Standards ("IFRS"). Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also requires that acquisition-related costs be expensed as incurred and that restructuring charges be expensed in the periods in which they are incurred after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011.

In February 2008, the CICA announced that Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS") for fiscal years beginning on or after January 1, 2011. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

(q) Comparative Figures

Certain 2009 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2010.

3. ACCOUNTS RECEIVABLE

		2010		2009
Trade receivables (a)	**$**	**16,397**	$	59,117
Less: Allowance for doubtful accounts		**(2,120)**		(2,125)
Net trade receivables	**$**	**14,277**	$	56,992
Other receivables		**15,496**		6,628
	$	**29,773**	$	63,620

(a) During 2010, the Company entered into a new revolving securitization program that replaced the existing accounts receivable financing facilities. At December 31, 2010, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At December 31, 2010, trade accounts receivable being serviced under this program amounted to $105.2 million (2009: $70.0 million under the former facilities). In return for the sale of its trade receivables, the Company received cash of $46.0 million (2009: $70.0 million under former facilities) and a note receivable in the amount of $59.2 million (2009: nil). The note receivable is non-interest bearing and is due on the monthly accounts receivable settlement dates.

4. INVENTORIES

		2010		2009
Raw materials	**$**	**12,821**	$	13,482
Finished goods		**18,463**		19,875
Packaging		**8,699**		8,815
Spare parts		**15,494**		14,487
	$	**55,477**	$	56,659

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

5. PROPERTY AND EQUIPMENT

	2010		
	Cost	Accumulated Depreciation	Net Book Value
Land	$ 25,862	$ –	$ 25,862
Building	174,918	(59,285)	115,633
Machinery and equipment	533,258	(344,485)	188,773
Construction in progress	61,422	–	61,422
Total property and equipment	**$ 795,460**	**$ (403,770)**	**$ 391,690**

	2009		
	Cost	Accumulated Depreciation	Net Book Value
Land	$ 25,840	$ –	$ 25,840
Building	179,586	(56,345)	123,241
Machinery and equipment	529,963	(320,691)	209,272
Construction in progress	28,899	–	28,899
Total property and equipment	$ 764,288	$ (377,036)	$ 387,252

Depreciation expense included in earnings for the current year was $49.0 million (2009: $52.4 million). Details of asset impairments are discussed in Note 14.

6. GOODWILL

	2010	2009
Balance, beginning of year	$ 386,807	$ 404,484
Finalization of prior purchase equations	–	268
Reversal of acquisition-related accruals (net of tax)	–	(624)
Effect of changes in foreign exchange rates	(10,913)	(17,321)
Balance, end of year	$ 375,894	$ 386,807

7. OTHER LONG-TERM ASSETS

	2010	2009
Deferred pension asset (Note 18)	$ 12,760	$ 11,230
Other assets	828	390
	$ 13,588	$ 11,620

8. OTHER INTANGIBLE ASSETS

	Brands	Customer Relationships	Other	Total
Cost				
December 31, 2009	**$ 7,402**	**$ 14,440**	**$ 1,266**	**$ 23,108**
Disposals	**–**	**–**	**(254)**	**(254)**
Effect of changes in foreign exchange rates	**(25)**	**(1,074)**	**–**	**(1,099)**
Balance December 31, 2010	**$ 7,377**	**$ 13,366**	**$ 1,012**	**$ 21,755**
Amortization and Impairment				
Balance December 31, 2009	**$ 4,933**	**$ 1,497**	**$ –**	**$ 6,430**
Amortization	**639**	**545**	**–**	**1,184**
Impairments	**–**	**623**	**–**	**623**
Effect of changes in foreign exchange rates	**(2)**	**(106)**	**–**	**(108)**
Balance December 31, 2010	**$ 5,570**	**$ 2,559**	**$ –**	**$ 8,129**
Net carrying value				
December 31, 2010	**$ 1,807**	**$ 10,807**	**$ 1,012**	**$ 13,626**

	Brands	Customer Relationships	Other	Total
Cost				
December 31, 2008	$ 5,993	$ 13,341	$ 1,768	$ 21,102
Additions	1,500	1,700	–	3,200
Disposals	–	–	(502)	(502)
Effect of changes in foreign exchange rates	(91)	(601)	–	(692)
Balance December 31, 2009	$ 7,402	$ 14,440	$ 1,266	$ 23,108
Amortization and Impairment				
Balance December 31, 2008	$ 2,788	$ 863	$ –	$ 3,651
Amortization	933	673	–	1,606
Impairments	1,212	–	–	1,212
Effect of changes in foreign exchange rates	–	(39)	–	(39)
Balance December 31, 2009	$ 4,933	$ 1,497	$ –	$ 6,430
Net carrying value				
December 31, 2009	$ 2,469	$ 12,943	$ 1,266	$ 16,678

Intangible asset impairments relate to restructuring in the Fresh Bakery business (Note 14).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9. LONG-TERM DEBT

		2010		2009
Due to Maple Leaf (a)	**$**	**2,332**	$	2,547
Southern Ontario Development Program (b)		**1,629**		–
	$	**3,961**	$	2,547
Less: Current portion		**2,332**		–
	$	**1,629**	$	2,547

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2011. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest under these facilities with Maple Leaf was $2.3 million in 2010 (2009: $3.3 million).

(b) During 2010, the Company received a government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value of $1.6 million calculated using a discounted cash flow analysis and the loan is carried at amortized cost on the balance sheet.

(c) The Company has a demand operating line of credit of £5.0 million ($7.7 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As at December 31, 2010, £5.0 million ($7.7 million), (2009: £2.5 million; $4.2 million) was outstanding and has been classified as bank indebtedness.

(d) The Company has demand operating facilities of $20.0 million (2009: $20.5 million), which bear interest at short-term rates. At December 31, 2010, $nil was utilized under these facilities (2009: $nil).

(e) The Company has a demand letter of credit facility of $10.0 million (2009: $10.0 million) of which $9.1 million as at December 31, 2010, (2009: $8.9 million) was utilized.

(f) The Company's weighted average cost of borrowing for 2010 was 5.5% (2009: 4.5%) including the impact of amortization of losses on terminated interest rate swaps (Note 10 and 13).

Required repayments of long-term debt are as follows:

2011	$	2,332
2012		114
2013		324
2014		343
2015		363
Thereafter		485
	$	3,961

10. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs. The Company's primary credit facility with

Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2010, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2010, total equity increased by $38.8 million to $785.8 million. During the same period, total cash and cash equivalents net of debt, increased by $21.8 million from an asset position of $50.9 million to $72.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Note receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued charges	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	Held-for-trading

(i) These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held-for-trading and all derivative financial instruments are recorded at fair value. The carrying value of long-term debt as at December 31, 2010 is $4.0 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2010 approximately $3.3 million (2009: $2.7 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at December 31, 2010, the Company has recorded an allowance for doubtful accounts of $2.1 million (2009: $2.1 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 35.7% (2009: 37.0%) of consolidated pre-securitized accounts receivable at December 31, 2010 and the two largest customers comprise approximately 30.2% (2009: 28.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at December 31, 2010		
	Due within 1 year	Due after 1 year	**Total**
Non-derivative financial liabilities			
Bank indebtedness	$ 7,777	$ –	**$ 7,777**
Accounts payable and accrued charges	185,216	–	**185,216**
Due to Maple Leaf Foods Inc.	5,336	–	**5,336**
Dividends payable	1,525	–	**1,525**
Long-term debt	2,332	1,629	**3,961**
Total	**$ 202,186**	**$ 1,629**	**$ 203,815**

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2010, the Company had available undrawn committed credit of $247.7 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. In addition, the Company's cash balances are typically invested in short-term interest bearing assets.

At December 31, 2010, the Company had variable rate debt of $10.1 million with a weighted average interest rate of 2.3%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2010, the amount sold pursuant to these programs was $45.8 million at a weighted average interest rate of 2.4%.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2010, 97.2% (2009: 100.0%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, a hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $1.5 million ($1.1 million after-tax) and an offsetting change in net earnings of $1.5 million ($1.1 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments are shown below:

	2010			2009		
	Notional Amount[i]	Fair Value		Notional Amount[i]	Fair Value	
		Asset	Liability		Asset	Liability
Cash Flow Hedges						
Foreign exchange forward contracts	$ –	$ –	$ –	$ 23,529	$ 329	$ –
Derivatives not Designated in a Formal Hedging Relationship						
Foreign exchange forward contracts[ii]	$ 47,624	$ –	$ 427	$ 496	$ –	$ 6
Total		$ –	$ 427		$ 329	$ 6
Current		$ –	$ 204		$ 329	$ 6
Non-current		–	223		–	–
Total		$ –	$ 427		$ 329	$ 6

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.
(ii) 2010 related party foreign exchange contracts with Maple Leaf Foods Inc. included a notional amount of $32.0 million with a non-current fair value liability of $0.2 million.

For the years ended December 31, 2010 and 2009, the amount of hedge ineffectiveness recognized in earnings was not material.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy.

	Level 1	Level 2	Level 3	Total
Liabilities:				
Foreign exchange forward contracts	$ –	$ 427	$ –	**$ 427**

There were no transfers between levels during the year ended December 31, 2010.

11. OTHER LONG-TERM LIABILITIES

	2010	2009
Post-retirement benefit liability (Note 18)	**$ 2,854**	$ 2,921
Pension liability (Note 18)	**4,087**	3,991
Other	**1,492**	1,612
	$ 8,433	$ 8,524

12. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2010	2009
Share capital (25,416,812 common shares (2009: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**713,416**	658,541
Accumulated other comprehensive loss (Note 13)	**(70,535)**	(54,419)
	$ 785,846	$ 747,087

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2010 there were no issued and outstanding preference shares.

13. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

	2010	2009
Balance at the beginning of the year [i]	**$ (54,419)**	$ (21,788)
Adoption of new accounting standard [ii]	**–**	13
Adjusted balance at the beginning of the year	**$ (54,419)**	$ (21,775)
Change in accumulated foreign currency translation adjustment [i]	**(21,704)**	(34,398)
Change in unrealized loss on cash flow hedges – net [iii]	**5,588**	1,754
Other comprehensive loss for the year	**$ (16,116)**	$ (32,644)
Accumulated other comprehensive loss as at December 31	**$ (70,535)**	$ (54,419)

(i) Balance at the beginning of the current year is net of tax of $nil (2009: $nil). The change in accumulated foreign currency translation adjustment is net of tax of $nil for the 12 months ended December 31, 2010 (2009: $nil).

(ii) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments.

(iii) Change in unrealized derivative loss on cash flow hedges is net of tax of $2.0 million for the 12 months ended December 31, 2010 (2009: $0.8 million).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the unamortized, unrealized derivative losses on the termination of interest rate swaps of $5.9 million in accumulated other comprehensive loss, which hedged interest rate risk on the previous facility, was released to earnings in 2010.

The Company estimates that $0.1 million of net unrealized derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $5.1 million (net of tax of $2.1 million) was released to earnings from accumulated other comprehensive loss, which is included in the net change for the year.

The ending balance of accumulated other comprehensive loss comprises accumulated unrealized foreign currency translation losses of $70.4 million, net of tax of $nil (2009: $48.8 million, net of tax of $nil) and unrealized loss on cash flow hedges of $0.1 million, net of tax of $nil (2009: $5.6 million, net of tax of $2.0 million).

14. RESTRUCTURING AND OTHER RELATED COSTS

During 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). Of this pre-tax amount, $10.4 million related to the Company's announcement to consolidate several Fresh Bakery facilities into one new bakery in Ontario. In addition, $2.0 million of these costs related the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

During 2009, the Company recorded restructuring and other related costs of $4.9 million ($3.7 million after-tax). These costs related primarily to the Company's announcement to consolidate its pasta and sandwich operations and recorded $3.5 million which included severances and a write-down of $1.2 million related to the discontinuance of a brand name. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs and the corresponding liability as at December 31, 2010, all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ –**	**$ –**	**$ –**	**$ 4,093**
Charges	2,003	527	2,378	–	–	**4,908**
Cash payments	(868)	(1,836)	–	–	–	**(2,704)**
Non-cash items	–	–	(2,378)	–	–	**(2,378)**
Balance at December 31, 2009	**$ 2,272**	**$ 1,647**	**$ –**	**$ –**	**$ –**	**$ 3,919**
Charges	11,223	1,529	1,614	384	798	**15,548**
Cash payments	(2,267)	(1,720)	–	–	–	**(3,987)**
Non-cash items	–	–	(1,614)	–	(798)	**(2,412)**
Balance at December 31, 2010	**$ 11,228**	**$ 1,456**	**$ –**	**$ 384**	**$ –**	**$ 13,068**

15. OTHER INCOME (EXPENSE)

	2010	2009
Loss on termination of interest rate swaps (Note 13)	**$ (5,876)**	$ –
Recovery from insurance claim	**–**	2,548
Loss on sale of property and equipment	**(126)**	(471)
Other	**183**	362
	$ (5,819)	$ 2,439

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16. INTEREST EXPENSE

	2010	2009
Interest expense on securitized receivables (Note 3)	$ 1,455	$ 1,375
Interest expense on long-term debt (Note 9)	2,336	3,265
Other interest expense (income)	(483)	444
	$ 3,308	$ 5,084

17. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2010	2009
Income tax expense according to combined statutory rate of 30.1% (2009: 31.4%)	$ 25,861	$ 35,458
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(829)	(612)
Rate difference in foreign jurisdictions	(720)	(974)
Non-taxable gains	5	(101)
Valuation allowance – U.S. tax losses	2,405	718
Tax benefits related to prior acquisitions	(1,500)	–
Future tax rate changes	–	(821)
Non-deductible amounts	112	1,071
Other	(507)	767
	$ 24,827	$ 35,506

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2010	2009
Future tax assets:		
Accrued liabilities	$ 3,805	$ 1,417
Losses carried forward	44,967	41,815
Other	1,296	3,896
Valuation allowance	(29,131)	(32,359)
	$ 20,937	$ 14,769
Future tax liabilities:		
Property and equipment – differences in net book value and undepreciated capital cost	$ 26,851	$ 26,030
Goodwill	15,435	15,430
Other	5,433	5,007
	$ 47,719	$ 46,467
Classified in the consolidated financial statements as:		
Future tax asset – current	$ 4,015	$ 1,640
Future tax liability – non-current	(30,797)	(33,338)
Net future tax liability	$ (26,782)	$ (31,698)

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. Frozen Bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, the Company has recorded a valuation allowance of $22.5 million (US$22.6 million) as at December 31, 2010 (2009: $24.1 million (US$23.0 million) with respect to accumulated tax losses in the U.S.

18. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2010	2009
Accrued benefit obligation:		
Balance, beginning of year	**$ 123,663**	$ 112,745
Current service cost	**2,839**	2,097
Interest cost	**6,980**	7,239
Benefits paid	**(8,938)**	(11,213)
Actuarial losses	**12,896**	11,918
Employee contributions	**838**	877
Special termination benefits	**350**	–
Curtailments	**(50)**	–
Balance, end of year	**$ 138,578**	$ 123,663
Plan assets:		
Fair value, beginning of year	**$ 98,096**	$ 89,800
Actual return on plan assets	**7,888**	13,591
Employer contributions	**6,058**	5,041
Employee contributions	**838**	877
Benefits paid	**(8,938)**	(11,213)
Fair value, end of year	**$ 103,942**	$ 98,096
Funded status – plan deficit	**$ (34,636)**	$ (25,567)
Unamortized transitional amount	**(3,555)**	(4,334)
Unamortized actuarial losses	**44,242**	34,128
Unamortized prior service costs	**2,216**	2,608
Net accrued benefit asset, end of year[(i)]	**$ 8,267**	$ 6,835

(i) Includes one defined benefit plan with an accrued benefit liability of $4.5 million (2009: $4.4 million).

Amounts recognized in the consolidated balance sheet consist of:

	2010	2009
Other long-term assets (Note 7)	**$ 12,760**	$ 11,230
Accounts payable and accrued charges	**406**	404
Other long-term liabilities (Note 11)	**4,087**	3,991

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The pension assets are invested in the following asset categories at December 31:

	2010	2009
Equity securities	**59%**	56%
Debt securities	**41%**	44%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows as of December 31:

	2010	2009
Discount rate used to calculate net benefit plan expense	**5.75%**	6.50%
Discount rate used to calculate year-end accrued benefit obligation	**5.00%**	5.75%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2010	2009
Current service cost – defined contribution plans	$ **8,642**	$ 8,270
Current service cost – defined benefit plans	**2,839**	2,097
Interest cost	**6,980**	7,239
Actual return on plan assets	**(7,888)**	(13,591)
Difference between actual and expected return on assets	**1,013**	7,108
Actuarial losses recognized	**12,896**	11,918
Difference between actual and recognized actuarial gains in the year	**(11,483)**	(10,681)
Amortization of transitional amount	**(778)**	(778)
Difference between prior service costs and actual plan amendments in the year	**249**	249
Curtailment loss	**448**	–
Special termination benefits	**350**	–
Net benefit plan expense	**$ 13,268**	$ 11,831

Measurement dates for defined benefit plan obligations and expense:

2010 Expense	December 31, 2009
Balance Sheet	December 31, 2010

In addition, the Company has accrued and included in other long-term liabilities $2.9 million (2009: $2.9 million) in respect of post-retirement benefit obligations. A one percentage change in health care cost trend would not have significant impact on the year end obligation or the 2010 current service cost and interest costs.

19. RELATED PARTY TRANSACTIONS

Maple Leaf provides certain services to the Company under the terms of a management services agreement. These services include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal services, insurance, human resources, access to senior Maple Leaf management time for operating involvement, M&A transactions, etc. Fees paid by the Company for these services are based on the actual cost of providing such corporate operations at Maple Leaf, and are allocated based on the proportion of assets employed to the total assets in the group, which is consistent with the allocation of such costs to other Maple Leaf companies.

In addition to the fees charged for these general management services, the Company is separately charged by Maple Leaf for computer systems services, engineering services, marketing and consumer affairs, and Six Sigma resources on a cost recovery basis according to estimates of the Company's use of these services.

Fees paid to Maple Leaf in 2010 for these services were $50.5 million (2009: $38.7 million).

The Company paid $1.6 million (2009: $1.6 million) for services in the normal course of business and at market prices to Day & Ross Transportation Group, a subsidiary of McCain Foods Limited. McCain Foods Limited is partly owned by McCain Capital Corporation; a 31.3% shareholder in Maple Leaf Foods Inc.

20. GOVERNMENT INCENTIVES

During the year, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of a new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning 2012. The Company received other incentives totalling $0.2 million (2009: $nil). These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

21. ACQUISITIONS

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During the first quarter of 2009, the Company finalized the purchase equation, allocating $15.4 million to the identifiable net tangible assets of Martel at the acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that are being amortized on a straight-line basis over 10 years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

Details of net assets acquired and purchase adjustments made in 2009 are as follows:

		2009
Net working capital	$	(624)
Future tax asset – non-current		(13)
Property and equipment		(2,445)
Intangible assets		3,200
Goodwill		268
Future tax liability – non-current		(63)
Total purchase cost	$	323

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $7.2 million (2009: $7.9 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2011	$	20,300
2012		14,546
2013		11,166
2014		8,685
2015		5,845
Thereafter		8,555
	$	69,097

23. SUPPLEMENTAL CASH FLOW INFORMATION

		2010		2009
Net interest paid	**$**	**3,661**	$	5,116
Net income taxes paid		**39,944**		30,388

24. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

		2010		2009
Earnings available to common shareholders – basic and diluted	**$**	**60,975**	$	77,478
Weighted average common shares outstanding – basic and diluted (in thousands)		**25,417**		25,417
Basic and diluted earnings per share:	**$**	**2.40**	$	3.05

25. SUBSEQUENT EVENTS

On February 23, 2011, the Company declared a dividend of $0.06 per share, payable to shareholders of record as of March 10, 2011, on April 1, 2011.

On February 18, 2011, the Company completed the sale of its Fresh Bakery sandwich business for $8.0 million, subject to post closing adjustments.

26. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2010	2009
Sales		
Fresh Bakery	**$ 1,086,827**	$ 1,119,790
Frozen Bakery	**501,610**	585,998
	$ 1,588,437	$ 1,705,788
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 99,226**	$ 91,535
Frozen Bakery	**11,251**	29,002
	$ 110,477	$ 120,537
Capital expenditures		
Fresh Bakery	**$ 47,880**	$ 21,722
Frozen Bakery	**18,715**	19,937
	$ 66,595	$ 41,659
Depreciation and amortization		
Fresh Bakery	**$ 26,866**	$ 27,632
Frozen Bakery	**23,293**	26,360
	$ 50,159	$ 53,992
Total assets		
Fresh Bakery	**$ 470,339**	$ 441,020
Frozen Bakery	**451,810**	476,681
Non-allocated assets	**109,990**	68,711
	$ 1,032,139	$ 986,412
Goodwill		
Fresh Bakery	**$ 157,194**	$ 155,946
Frozen Bakery	**218,700**	230,861
	$ 375,894	$ 386,807

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Information About Geographic Areas

During the year, total revenues from external customers outside of Canada were $355.1 million (2009: $420.6 million). Of this amount $195.5 million (2009: $216.3 million) was attributed to sales made in the United States and $153.2 million (2009: $196.2 million) attributed to sales made in the United Kingdom.

Property and equipment located outside of Canada were $121.6 million (2009: $132.6 million). Of this amount $72.1 million (2009: $77.7 million) related to property and equipment located in the United States and $49.5 million (2009: $54.9 million) related to property and equipment located in the United Kingdom.

Goodwill attributed to countries foreign to Canada is $166.3 million (2009: $178.3 million). Of this amount $84.0 million (2009: $88.5 million) related to goodwill attributed to operations in the United States and $82.3 million (2009: $89.8 million) related to goodwill attributed to operations located in the United Kingdom.

Information About Major Customers

During the year, the Company reported sales to two customers, each representing greater than 10.0% of total sales. Sales to one customer represented 18.0% (2009: 17.1%) of total sales, while sales to a second customer represented 12.2% (2009: 11.7%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery businesses.

CORPORATE INFORMATION

DIRECTORS

Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
Sarah A. Everett
G. Wallace F. McCain, C.C.
J. Scott McCain
John F. Petch
Michael H. Vels

CORPORATE OFFICE

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Toronto, Ontario M9B 6H7
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STOCK EXCHANGE LISTING AND STOCK SYMBOL

The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

COMPANY INFORMATION

For public and investor relations inquiries, please call 416-926-2000. Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request.
Please contact: 416-926-2000.

ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Thursday, May 5, 2011 at 2:30 p.m.

AUDITORS

KPMG LLP

REGISTRAR AND TRANSFER AGENT

Computershare Investor Services Inc.

SHAREHOLDER INFORMATION

Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor, North Tower
Toronto, Ontario, M5J 2Y1, Canada
Tel: 514-982-7555 or
1-800-564-6253
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